

Goldman's Shocking Warning Learning Workbook

*Understanding Market Risks and the AI
Funding Crisis*



IMPORTANT LEGAL DISCLAIMER

**THIS WORKBOOK IS FOR
EDUCATIONAL PURPOSES ONLY
AND DOES NOT CONSTITUTE
FINANCIAL, INVESTMENT, OR
LEGAL ADVICE.**

The information provided is designed to help you understand complex market dynamics and think critically about economic trends. It is NOT a recommendation to buy, sell, or hold any specific investment.

KEY POINTS:

- Past performance does not guarantee future results
- All investments carry risk, including potential loss of principal

- Always consult with a qualified financial advisor before making investment decisions
- This content is educational only - learn, think, and research
- The author is not responsible for your investment decisions



Welcome to Your Learning Journey

This workbook is designed to help you understand and process the important information shared in the "Goldman's Shocking Warning" video. By working through these sections and answering the questions, you'll develop a deeper understanding of market risks and how to think about them.



Before You Begin

This workbook uses simple language to explain complex financial concepts. Think of it like learning about how a car engine works - you don't need to be a mechanic to understand the basics and know when something needs attention.

Section 1: The Warning Everyone Missed



What is Goldman Sachs' Delta-One Desk?

Think of it like a control tower at an airport. They see all the planes (money) moving around in real-time. When they send out a warning, it's like a weather alert - smart people pay attention because they see storms coming before anyone else.

On November 19, 2025, Goldman Sachs issued a warning that most people missed. While everyone was watching exciting AI stocks like **Nvidia (NVDA)** and Oracle going up, Goldman said we should actually be worried about **Blue Owl Capital (OWL)** and **Capital One (COF)**.

Why does this matter? It's like everyone watching the penthouse party while the building's foundation is cracking.



Reflection Question: What surprised you most about this warning?



Understanding Check: In your own words, explain why Goldman was warning about Blue Owl and Capital One instead of AI stocks.

Section 2: The AI Funding Crisis Explained



The Big Numbers Made Simple

Total AI infrastructure needed (2025-2028): \$2.9 trillion

Amount AI companies can pay themselves: \$1.4 trillion

The funding gap (money needed from others): **\$1.5 TRILLION**

To understand this, imagine building a massive project like a new city. The project costs \$2.9 trillion. The builders have \$1.4 trillion saved up. That means they need to **borrow \$1.5 trillion** from somewhere.

Where is that \$1.5 trillion supposed to come from?

- **\$800 billion to \$1.4 trillion** from private credit companies (the biggest chunk!)
- **\$200 billion** from corporate bonds
- **\$150 billion** from other loans
- **\$350 billion** from wealthy investors and funds



The Problem

Private credit companies are supposed to provide the MOST money. But they're the ones showing stress right now - blocking withdrawals, showing losses, and having problems. It's like discovering the bank you need to borrow from is running out of money.

 **Critical Thinking:** Can you explain the AI funding gap using a simple comparison (like building a house, planning a trip, etc.)?

 **Knowledge Check:** What percentage of the funding gap needs to come from private credit? Why is this concerning?

Section 3: Consumer Finance & The K-Shaped Economy



What is a "K-Shaped Economy"?

Imagine the letter K. The top line goes up, the bottom line goes down. That's what's happening in our economy:

- **Top line (going up):** Wealthy people, tech workers, stock owners - they're doing great
- **Bottom line (going down):** Regular middle-class Americans - struggling with high costs

Warning Signs from Regular Americans:

- Credit card defaults hit **\$59 billion in 2024** (up 34% from 2023)
- Car repossessions: **1.73 million vehicles in 2024** (highest since 2009)
- Credit card interest rates: averaging **24.62%** (very high!)
- People using credit cards just to buy groceries and pay bills

Why This Connects to Everything:

When regular people can't pay their bills → credit card companies lose money
→ private credit companies have problems → they can't lend money for AI projects → the whole funding plan breaks down.

It's all connected like dominoes!



Application Question: How might a K-shaped economy affect your own community or the people you know?

 **Connection Question: Draw or describe how consumer defaults connect to the AI funding crisis. (Use arrows or simple steps)**

Section 4: What Goldman Really Means

Goldman Sachs isn't just warning about problems - they're predicting what will happen:



The Prediction

Short-term: Market could drop 10-20% in the next 12-24 months

Long-term: Stocks might only return 3-6.5% per year for the next decade (compared to 13% in the past decade)

Eventually: Government will likely bail out private credit "when the pain hits unbearable levels"



What "Educational" Means

This workbook teaches you HOW to think about these issues, not WHAT to do with your money. Think of it like learning about nutrition - you learn what vitamins do, but your doctor helps you decide what to eat based on YOUR specific health needs.



Personal Reflection: What surprised you most about Goldman's long-term predictions?

Section 5: Your Learning Action Plan

These questions help you think about what you learned and what you want to explore further. Remember: learning leads to better conversations with financial professionals.



Research Planning: List 3 things you want to learn more about or research further:

1. _____
2. _____
3. _____



Discussion Question: If you were to discuss this with a financial advisor, what questions would you ask?

Final Reflections & Key Takeaways

Key Concepts to Remember:

- **Warning Signs Matter:** When major banks issue warnings, learning about them helps you understand market dynamics
- **Everything is Connected:** Consumer finances, private credit, and AI funding are all linked
- **Foundation vs. Penthouse:** Sometimes the real story isn't the exciting part everyone's watching
- **K-Shaped Economy:** Understanding wealth inequality helps explain market stresses
- **Education First:** Knowledge helps you ask better questions and have informed discussions

 **Big Picture Reflection:** How has your understanding of market risks changed after learning about this warning?

 **Knowledge Application:** If a friend asked you "What's happening with AI and private credit?", how would you explain it in simple terms?

Your Next Steps (Checklist):

- ☐ Review your answers and identify patterns in your thinking
- ☐ Research the topics you listed in Section 5
- ☐ Consider discussing these concepts with a qualified financial advisor
- ☐ Stay informed about market developments (but avoid panic)
- ☐ Focus on understanding concepts, not just memorizing facts

FINAL REMINDER

This workbook is designed to educate and inform, not to provide financial advice. The goal is to help you think critically about market information and ask better questions. Always consult with qualified professionals before making investment decisions specific to your situation.

QUESTIONS OR CONCERNS?

Discuss with a licensed financial advisor who can provide personalized guidance based on your specific financial situation, goals, and risk tolerance.

Thank you for taking the time to learn and think critically!

Education is the foundation of informed decision-making.

